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NexaCore Technologies, Inc. — Annual Report — Fiscal Year Ended January 28, 2024

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> Note: **NexaCore Technologies** uses a 52/53 week fiscal year ending on the last Sunday of January. "Fiscal Year 2023" (FY2023) ended January 28, 2024.

Letter to Shareholders

By Sarah Chen, Chief Executive Officer

Dear Shareholders,

Fiscal Year 2023 was a foundation-building year for NexaCore. Revenue grew 38% to **$14.2B**, gross profit reached $9.7B (a gross margin of 68.3%), and net income was $4.1B. Diluted earnings per share were $1.64. We ended the year with $7.2B in cash and equivalents and reduced total debt to $4.0B.

The most important commercial milestone of the year was the launch of the **CloudMax C1 Series**, our first inference-optimized cloud chip family. C1 gave cloud service providers a lower-cost way to serve trained models at scale, and adoption among hyperscale customers exceeded our plan.

Our flagship **NexaCore X1 Accelerator**, launched in 2022, continued to ramp throughout the year. Our engineering teams are also deep into development of the next-generation **NexaCore X2 Accelerator**, which we expect to deliver a substantial leap in memory capacity and training performance. We will share more detail as the program approaches launch.

We are beginning to see early signals of an unprecedented AI infrastructure buildout. Customers that were running pilot-scale AI projects 18 months ago are now committing to multi-year data center investments. We believe this demand will accelerate materially, and we have been investing in supply chain capacity, software, and talent to be ready for it.

Thank you for your continued trust.

Sarah Chen Chief Executive Officer (appointed 2019)

(Source: NexaCore FY2023 Annual Report, Letter to Shareholders)

Business Overview

Company Description

NexaCore Technologies, Inc. was founded in 2009 and is headquartered in Santa Clara, California. We design AI hardware and software for three end markets: data center, automotive, and edge computing. Our integrated platform combines accelerator silicon, system-level software, and developer tools. We are a fabless company: we design our chips and rely on third-party foundries for fabrication.

Products and Technology

NexaCore X1 Accelerator

The **X1 Accelerator**, launched in 2022, is our AI training chip. Key specifications:

Specification	NexaCore X1
Memory	80 GB HBM3
Peak compute	1,000 TFLOPS (BF16)
Primary use	Large-scale AI model training
Launch year	2022

CloudMax C1 Series

The **CloudMax C1 Series**, launched in 2023, is optimized for inference workloads in cloud environments. It emphasizes throughput per watt and per dollar, targeting customers who deploy trained models to large user populations.

NexaOS Software Platform

NexaOS is the orchestration layer for X-series hardware. It handles workload scheduling, cluster management, and model deployment. In FY2023, NexaOS revenue was bundled into the Data Center segment. Software attachment to hardware sales increased during the year.

(Source: NexaCore FY2023 Annual Report, Business Overview)

Customers

Our customers include cloud service providers, automotive original equipment manufacturers (OEMs), and enterprise AI laboratories. **No single customer accounted for more than 15% of total revenue in FY2023.** Within the Data Center segment, purchases are increasingly concentrated among a small number of large cloud providers (see Risk Factors).

Competition

Our primary competitor is **QuantumEdge Corp** (Austin, Texas), whose **QE-Pro GPU** competes with our X1 for AI training and inference budgets, particularly among cost-sensitive buyers. We also compete with **AMD** (Instinct accelerators) and **Intel** (Gaudi). Several large cloud providers also develop in-house AI silicon.

Manufacturing and Supply Chain

We rely on **SilicaFab**, a leading-edge foundry based in Hsinchu, Taiwan, to fabricate our products. **SilicaFab manufactures 100% of X1 chips.** Our supply agreement with SilicaFab runs through **December 2027**. SilicaFab is a sole-source supplier for our X-series; we have not qualified an alternative foundry.

High-bandwidth memory (HBM3) used in X1 is supplied by two Korean vendors, **HB Memory Corp** and **ShinKwang Electronics**. Both are required to meet our volume plans.

This Taiwan manufacturing concentration is discussed further in the Risk Factors section.

(Source: NexaCore FY2023 Annual Report, Manufacturing and Supply Chain)

Employees

NexaCore had **12,400 employees** at the end of FY2023, of whom approximately 68% work in engineering roles (about 8,400 engineers). We continued to hire aggressively in chip design, systems software, and verification.

Financial Results — Fiscal Year 2023

Revenue

Total revenue for FY2023 was **$14.2B**, an increase of **38%** year over year.

Region	% of Revenue	Revenue (FY2023)
Americas	40%	$5.7B
Asia-Pacific (excl. China)	30%	$4.3B
China	18%	$2.6B
Europe	12%	$1.7B
Total	**100%**	**$14.2B**

(Percentages and dollar figures are rounded; regional dollar amounts may not sum precisely to the total.)

(Source: NexaCore FY2023 Annual Report, Management Discussion and Analysis — Revenue)

Profitability

Metric	FY2023
Revenue	$14.2B
Gross Profit	$9.7B
Gross Margin	68.3%
R&D Expense	$2.8B
Operating Income	$4.4B
Operating Margin	31.0%
Net Income	$4.1B
EPS (diluted)	$1.64
Diluted shares outstanding	2.50B

R&D expense of $2.8B represented 19.7% of revenue. Gross profit of $9.7B divided by revenue of $14.2B yields the reported gross margin of 68.3%.

(Source: NexaCore FY2023 Annual Report, Management Discussion and Analysis — Profitability)

Segment Revenue

In FY2023 we reported three segments. Software revenue (NexaOS) is bundled into Data Center.

Segment	FY2023 Revenue	% of Total
Data Center	$9.8B	69.0%
Automotive AI	$2.6B	18.3%
Edge Computing	$1.8B	12.7%
Total	**$14.2B**	**100%**

(Source: NexaCore FY2023 Annual Report, Segment Information)

Balance Sheet

Item	FY2023
Cash & Equivalents	$7.2B
Total Debt	$4.0B
Net Cash	$3.2B

Cash Flow

Capital expenditures were $0.8B. **Free cash flow was $3.3B.**

(Source: NexaCore FY2023 Annual Report, Liquidity and Capital Resources)

Risk Factors

Manufacturing Concentration Risk

Taiwan Concentration

All of our X-series accelerators are fabricated by SilicaFab in Hsinchu, Taiwan. This **Taiwan manufacturing concentration** means that a natural disaster, power or water disruption, operational incident, or geopolitical event affecting Taiwan could interrupt our entire supply of leading-edge accelerators. Cross-strait tensions between the People's Republic of China and Taiwan have periodically escalated. A blockade, military action, or sanctions affecting Taiwan could prevent shipments and make it impossible to recognize revenue on customer orders. We carry limited business interruption insurance that would not compensate for lost market position.

SilicaFab Agreement Terms

Our wafer supply agreement with SilicaFab runs through **December 2027**. It provides capacity commitments but does not obligate SilicaFab to prioritize NexaCore over other customers during industry-wide shortages. We have no second-source foundry qualified for X1.

(Source: NexaCore FY2023 Annual Report, Risk Factors — Manufacturing Concentration Risk)

Export Control Risk

China Revenue Exposure

China represented **18%** of FY2023 revenue ($2.6B). Demand from Chinese cloud providers and AI laboratories has been strong.

Regulatory Outlook

The US government has shown increasing scrutiny of exports of advanced AI chips to China. Existing rules under the Export Administration Regulations (EAR) have already required licenses for certain products. Additional restrictions could be imposed with limited notice and could materially reduce our China revenue.

(Source: NexaCore FY2023 Annual Report, Risk Factors — Export Control Risk)

Competition Risk

QuantumEdge and Cost-Sensitive Buyers

QuantumEdge has been growing at roughly 62% year over year on a trailing basis, and its QE-Pro GPU is a credible alternative for cost-sensitive buyers, particularly in inference. If QuantumEdge or AMD offers materially lower prices per unit of compute, we may face pricing pressure.

In-House Silicon

Several of our largest customers have in-house AI chip programs that could reduce their purchases from us over time.

Customer Concentration Risk

Data Center Purchasing Patterns

Although no customer exceeded 15% of total revenue in FY2023, our Data Center segment is becoming concentrated among a small number of hyperscale cloud providers. Customers purchase on a purchase-order basis rather than under long-term commitments. A delay or reduction by any large customer could materially affect quarterly results.

Technology Risk

Hardware Generation Cadence

We must maintain a roughly **two-year hardware generation cadence** to preserve our performance lead. A delay in X2 or subsequent generations, or a design flaw, could erode our competitive position.

Corporate Governance

Board of Directors

Our board has nine directors, eight of whom are independent. Sarah Chen is the only management director. The board separates the roles of Chair and CEO and meets at least six times per year.

Audit Committee

The Audit Committee consists of three independent directors, each of whom qualifies as financially literate; one is designated an audit committee financial expert. The committee oversees financial reporting, internal controls, and our relationship with our independent auditor. **David Okafor**, Chief Financial Officer, reports to the committee on a quarterly basis.

Executive Compensation

Executive compensation consists of base salary, annual cash incentives tied to revenue and operating income targets, and long-term equity awards that vest over four years. A majority of target compensation for the CEO and CFO is performance-based.

(Source: NexaCore FY2023 Annual Report, Corporate Governance)